Internal Financial Control Policy

Section 134(5)(e) & 143(3)(i), Companies Act, 2013

1. Preamble and Regulatory Framework

The Companies Act, 2013 (the "Act") places significant emphasis on internal financial controls. Section 134(5)(e) of the Act requires the directors of a listed company to state, in the Directors' Responsibility Statement forming part of the Board's Report, that they have laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively. Section 143(3)(i) of the Act requires the statutory auditors to report on the adequacy and operating effectiveness of the internal financial controls with reference to the financial statements. Regulation 17(8) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the "Listing Regulations") requires a compliance certificate from the Chief Executive Officer and the Chief Financial Officer in respect of internal controls for financial reporting.

In compliance with the above requirements, the Board of Directors (the "Board") of MRC Agrotech Limited (the "Company") has adopted this Internal Financial Control Policy (this "Policy") to establish and maintain adequate internal financial controls commensurate with the size, scale and complexity of the operations of the Company.

2. Definition and Objective

"Internal Financial Controls" means the policies and procedures adopted by the Company for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information. The objective of this Policy is to ensure that such controls are designed, implemented and maintained so as to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements in accordance with applicable law.

3. Components of the Internal Financial Control Framework

The internal financial control framework of the Company is designed around the following inter-related components:

3.1 Control Environment

The Company maintains a defined organisational structure with clear lines of reporting, an approved delegation of authority, appropriate segregation of duties, and a documented framework of policies, codes and standard operating procedures. The control environment reflects the overall attitude, awareness and actions of the Board and the management concerning internal controls and their importance.

3.2 Risk Assessment

The Company identifies and assesses the risks relevant to the preparation of financial statements and the safeguarding of assets, including the risk of fraud, and determines how such risks are to be managed. This process is aligned with the Company's Risk Management Policy.

3.3 Control Activities

- authorisation and approval matrices for expenditure, procurement, payments and investments;
- segregation of incompatible duties across initiation, authorisation, recording and custody functions;

- periodic reconciliations of bank accounts, ledgers, receivables, payables and inter-unit balances;
- physical verification of fixed assets, inventory and cash at defined intervals, with reconciliation of differences;
- controls embedded within the accounting, enterprise resource planning and information technology systems of the Company, including access and change-management controls; and
- a defined process for review and approval of the periodic financial statements.

3.4 Information and Communication

The Company maintains reliable financial and operational reporting systems that capture and communicate relevant information in a form and within a timeframe that enables the Board, the management and other personnel to carry out their responsibilities.

3.5 Monitoring

The internal financial controls are monitored through a combination of ongoing management reviews, independent testing by the internal audit function, and oversight by the Audit Committee. Deficiencies identified are reported to, and remedial actions are tracked by, the appropriate levels of management and the Audit Committee.

4. Roles and Responsibilities

- The Board is responsible for laying down internal financial controls and for satisfying itself, through the Audit Committee and the auditors, that such controls are adequate and operating effectively.
- The management of the Company is responsible for establishing, documenting, implementing, maintaining and operating internal financial controls and for their day-to-day effectiveness.
- The Internal Auditor evaluates the adequacy and operating effectiveness of the internal financial controls, carries out risk-based internal audits and reports observations and recommendations to the Audit Committee.
- The Audit Committee reviews the adequacy of the internal financial control systems, the scope and performance of the internal audit function, and the significant findings of internal and statutory audits.
- The Statutory Auditors report on the adequacy and operating effectiveness of the internal financial controls with reference to the financial statements, as required under Section 143(3)(i) of the Act.

5. Reporting of Deficiencies and Fraud

Any material weakness or significant deficiency in the internal financial controls, and any instance of fraud or suspected fraud identified during the course of internal or statutory audit or otherwise, shall be reported to the Audit Committee and dealt with in accordance with the Act, the Company’s Vigil Mechanism / Whistle Blower Policy and other applicable policies of the Company.

6. Review and Amendment

This Policy and the underlying control framework shall be reviewed periodically by the management and the Audit Committee, and shall be updated to reflect changes in the business, processes, systems, organisational structure or the regulatory environment. The Board is authorised to amend this Policy from time to time. In the event of any conflict between this Policy and applicable law, the provisions of applicable law shall prevail.

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